

If you're an experienced swing trader, you might want to short a downward breakout and close the position in a week or when price drops 7%. However, the median decline is just 5%, so it might not be worth it.

Table 8.4 Breakout and Post-Breakout Statistics

Description	Up Breakout	Down Breakout
Breakout direction	60% up	40% down
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L 48%, M 45%, H 43%	L -16%, M -13%, H -11%
Throwbacks/pullbacks occurrence	69%	62%
Average time to throwback/pullback peaks	6% in 7 days	-7% in 7 days
Average time to throwback/pullback ends	12 days	12 days
Average rise/decline for patterns with throwbacks/pullbacks	43%	-14%
Average rise/decline for patterns without throwbacks/pullbacks	48%	-16%
Percentage price resumes trend	75%	49%
Performance with breakout day gap	48%	-14%
Performance without breakout day gap	44%	-15%
Average gap size	\$0.63	\$0.74

Anyway, I compared the performance of broadening bottoms with and without throwbacks or pullbacks and found that the pattern performs better without a throwback or pullback happening. That's not a surprise because I've seen that behavior in other chart patterns, too.

After a throwback or pullback ends, the stock resumes moving upward 75% of the time after an upward breakout and drops 49% of the time after a downward breakout. Be careful when thinking you can short after a pullback completes. Price might continue rising instead (51% do).